Investment Thesis

My investment approach is grounded in a simple idea: study the business first, think about price second, and act only when the gap between the two is large enough to matter. A stock is not just a ticker or a chart. It is a partial ownership interest in a real business. That means the first question is not whether the stock looks cheap, but whether the business itself is understandable, financially sound, and durable enough to deserve further attention.

The process begins with filtering for business quality rather than jumping straight to valuation. Before a full financial model is ever built, I screen companies for characteristics that increase the odds of long-term durability: understandable operations, acceptable revenue stability, reasonable earnings power, balance sheet strength, survivability through downturns, rational capital allocation, and a competitive position that can be explained plainly. This is meant to eliminate weak, fragile, overly promotional, or structurally poor businesses before significant time is spent on them. Time is limited, so the goal is not to value everything, but to focus deeply only on businesses that appear worthy of deeper study.

This process is also tied directly to a circle of competence. At this stage, I am intentionally focused on businesses whose economics can be understood with reasonable confidence through public filings, operating history, and industry structure. That generally means industrials, manufacturing, retail, distribution, and other tangible, operationally legible businesses. By contrast, I currently exclude or heavily restrict insurance, financials, biotechnology, and many technology businesses because their economics are either more specialized, more balance-sheet-driven, or subject to faster-moving competitive dynamics that are harder to evaluate conservatively. This circle of competence should grow over time, but only as understanding is earned. It is better to know the edges of your knowledge than to pretend they are not there.

Once a business passes that initial filter, the next objective is to identify a large enough gap between market price and intrinsic value to justify action. The goal is not to make ultra-precise estimates and then buy something trading at a small discount. Small differences between price and value are often too uncertain and too dependent on fragile assumptions. The focus is on situations where the disconnect is obvious enough that precision matters less. If you see a house worth roughly $500,000 selling for $490,000, that may not mean much. If you see it selling for $250,000, the opportunity is far clearer. That is the spirit of margin of safety.

In some cases, that discount will be visible through earnings power, cash generation, or the long-term economics of the business. In other cases, especially in smaller and neglected companies, the mispricing can become so extreme that it is visible through the balance sheet itself. There have been real periods in market history when companies traded below net cash or below conservative estimates of net current asset value. That is not a fantasy or just a Graham-era idea. During periods of panic and forced selling, the market can become so pessimistic that the value of the entire business falls below the value of what it owns after adjusting for liabilities. These situations are rare, but they show that markets do not always price businesses rationally in the short run.

A major advantage of this strategy is that I do not face institutional pressure to act. There is no requirement to stay fully invested, no capital deployment quota, no benchmark to track closely, and no need to justify inactivity for its own sake. That matters. Buffett's "no called strikes" idea captures this perfectly: in investing, you do not have to swing just because something is being thrown at you. The ability to wait is a real advantage. Many investors are pushed toward action by outside pressure. I am trying to structure the process so that patience becomes an edge rather than a weakness.

Time horizon is another central part of the strategy. In the short run, markets can be driven by sentiment, narrative, temporary disappointment, liquidity needs, tax-loss selling, or simple neglect. In the long run, business performance matters more. That is the idea behind Graham's voting machine and weighing machine analogy. In the short term, the market can misjudge a business badly. Over time, if the analysis is right and the business performs well enough, price and value have a tendency to move closer together. Because of that, the goal is not to predict short-term price moves, but to buy when the gap is wide and then allow time for business reality to assert itself.

The opportunity set is likely to be strongest in small-cap companies. Large, widely followed companies are studied by institutions, analysts, and other sophisticated market participants constantly, which makes large mispricings less common. Smaller companies, by contrast, are more likely to be underfollowed, misunderstood, ignored, or hit by temporary dislocations that obscure their real value. They may be too small for large funds, too boring for the market, or too illiquid to attract much attention. That does not make them automatically attractive, but it does make them more fertile ground for deep research and selective value investing.

An important part of the strategy is also the deliberate construction of a research library. Screening hundreds of companies, writing qualitative reports, building financial summaries, and eventually completing full valuation models is not just about finding one immediate investment. It is about building judgment. Each business studied adds another reference point. Each industry reviewed improves pattern recognition. Each rejected company sharpens the standards for the next one. Over time, this creates a growing internal database of business types, common weaknesses, recurring strengths, capital allocation patterns, and valuation ranges. That accumulated judgment is part of the edge.

In practical terms, the strategy is to stay within an honest and developing circle of competence, focus on understandable small-cap businesses, filter first for quality and durability, and then wait patiently for large and obvious gaps between market price and conservative estimates of intrinsic value. The goal is not activity, but disciplined capital allocation. When the market offers only marginal opportunities, doing nothing is acceptable. When it offers a business that is understandable, financially sound, and available at a meaningful discount, that is when action becomes justified.